

In September 2011, about nine months after I had interviewed Claugus, I called him with additional questions.

You are currently 85 percent net long. That seems to be a relatively high long exposure given the current concerns about the U.S. economy and the stability of the European Union. What makes you so bullish?

The net exposure is primarily determined by the mean reversion model, but I don't think the economy is as bad as the media is portraying it. We track a number of basic indicators to get a feel for the real economy. For example, rail traffic is up 2 percent for the year, and truck traffic is up 4 percent, which are not figures indicative of a contraction. Load factors on airlines are pretty good as well. RevPAR [revenue per available room] for hotels is up 7 percent. These are basic indicators you can look at that tell you the economy is just not that bad. Although we still have to work through some of the housing bubble excess, I don't expect construction and housing starts to fall much from here because they are already so low they have almost nowhere to go but up.

That's the most optimistic assessment I've heard about the U.S. economy from anyone.

I wouldn't say I am optimistic. If you look at the current numbers, I think it is very difficult to argue that the U.S. economy is in trouble. But if you look at the budget and trade deficits and government spending, the situation is out of control. We clearly need to rein in government spending, and when that happens, it is likely to slow the economy. It is like a household that has been living off their credit cards and has to start paying back their debts.

So even though the current economy may be okay, if we have this contraction looming, doesn't that act as a counterbalance to your bullish argument?

Exactly, and that is why I brought it up. Here I am fairly long stocks, and if I look over my shoulder, I see this huge storm cloud, and I don't know when it is going to hit. It could be in six months; it could be in six years. In Europe, the markets are already disciplining the governments. Eventually, the same thing will happen in the U.S. if we don't take